THE TRADING ACADEMY

Brice Strebler

Backtesting Rules

Clearly write down the rules of the strategy you are going to backtest. Think of this as your checklist. You may refer back to this document in a year's time and know precisely what you tested.

Strategy name	Insert name DXY
Watchlist	Insert list EUR/USD,GBP/USD, USD/JPY, USD/CAD, AUD/USD, NZD/USD, USD/CHF, XAU/USD
Time Period	May 22nd 2023 - end of twenty trades
Strategy Rules	1. Follow the **ACE** methodology: Anticipate/Confirm/Execute. 2. **Anticipate** (this is the preparation phase so we are not just reacting to the market, we want consistency). 3. Firstly look at the fundamentals for the week ahead (Sunday night) and identify news which may increase volatility on any particular day. 4. Then on the daily chart every couple of weeks (slow moving hence time frame for checking) look at the 3 moving averages (50,/100/200) to get a sense of potential market direction. 5. Then mark any significant Supply and demand levels on the daily chart. 6. Once These levels have been located on the daily chart use fib tool check for any areas where there is confluence between S&D and Fibs. Use Fib on

previous larger waves/pivots. These can provide areas of interest where price action may reverse in the future. Can go to the 4HR chart for more accuracy and adjustment when the area is identified.

7. Then repeat exercise on the most recent wave/pivot. Looking for alignment. Will not necessarily be trading off these levels. Need to be aware of any confluences as potential points where the market may bounce back.
8. Draw out the DXY opening on the 15m chart as the level of attraction/rejection.
9. **Confirmation** we don't blindly enter the market, ever!, if we don't have a signal we don't trade! We want to make sure probability is on our side.
10. Make sure the opening has not been bridged/breached.
11. Look for price action to move away from opening ideally at a gradual pace away from the Asian market.
12. Check Fundamentals to see if there is any potential momentum/trend on the Asian market which may negate a trade. Ask if there is strong momentum? And Why?
13. Has the price action moved away enough to take DXY attraction trade?
14. If the answer is YES then identify recent swing higher/lower for possible stop loss.
15. Ask if there is enough room for a 1:1 ratio risk to reward?
16. Look for an attraction trade entry at London open (can go an hour earlier if Monday). No trade prior to 6.30am GMT.
17. Looking for either engulfing/3 bar reversal/pin bar signal to enter trade if there is sufficient number of pips, no less than 15 pips, 25 or more preferred.
18. No signal/No trade that is final! Wait for price action to move further away from opening, reassess,and look for entry.
19. **Execute**
20. Check fundamentals one last time. If there is news around the time of the trade either decide if you have enough time prior to the news release to take the trade, or if already in the trade consider exiting trade before the news release, or waiting until the news event has passed and market settles before entering the trade.
21. Once we have a signal enter the trade.
22. We execute on FX USD major pairs in correlation with the direction of the DXY (start adding 2-3 pairs then with more practice can enter all 7 pairs at the same time).
23. Initial profit target is DXY opening at which point would

take ½ or ⅔ of the position off and leave a runner if assessment suggests worth doing so.

24. FX entries have a 25 pip stop loss and the intention is to close with a 25 pip target. This is dependent on assessment of FX pair verifying if there is a level which potentially would prevent from hitting the target then would adjust target accordingly.
25. The same for stop loss though you don't want to go crazy as 25 pips is enough as it is.
26. Importantly! If DXY level is hit, you need to manually exit all trades even if the target has not been reached.
27. **Trade Management** (helps you squeeze more out of the trade).
28. Once the price goes back to the opening time and reaches our target, reassess. Ask yourself do I close/enter a reversal trade/ or continue as a swing trade.
29. Is our trade running sideways? Is it going to reverse or continue?
30. Has our stop loss been triggered? Reassess, do I want to re-enter/reverse etc..
31. If momentum is fading/consolidating/moving sideways then look for reversal/rejection entry.
32. Once attraction trade has been exhausted with candle confidently closing below/above the opening level this often acts as rejection level.
33. In helping to make a decision check HTF to confirm momentum to help in assessment.
34. **DXY Opening bridged what to do**
35. If DXY opening level is bridged then consider this as a rejection level and look for trades accordingly. Wait for the price to return to the opening level and then look for reversals/rejections.
36. As above, look for an entry signal or tapping off this level. Use HTF for consideration as to where the momentum is heading and if this confirms your analysis.
37. If the opening has been bridged repeatedly and is hanging around this area moving backwards and forwards then consider not trading for the day as there is no clear direction.

Schedule	I can trade most mornings